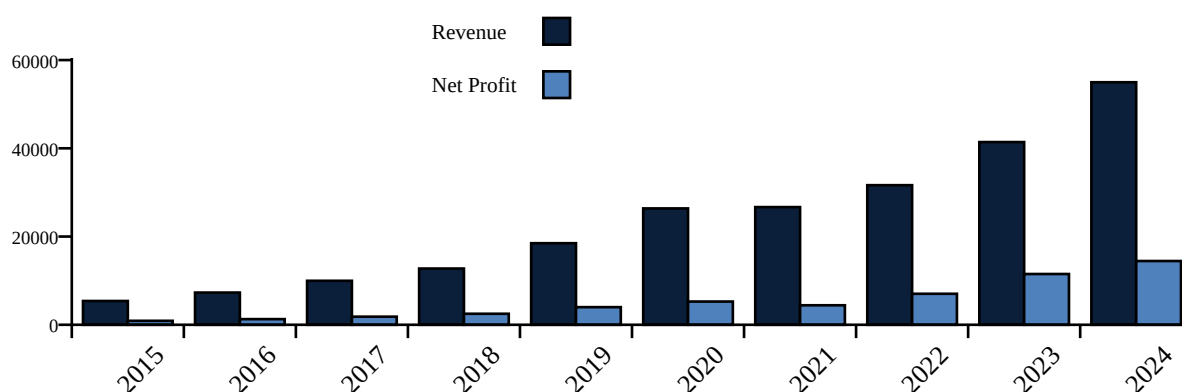


Bajaj Finance Ltd

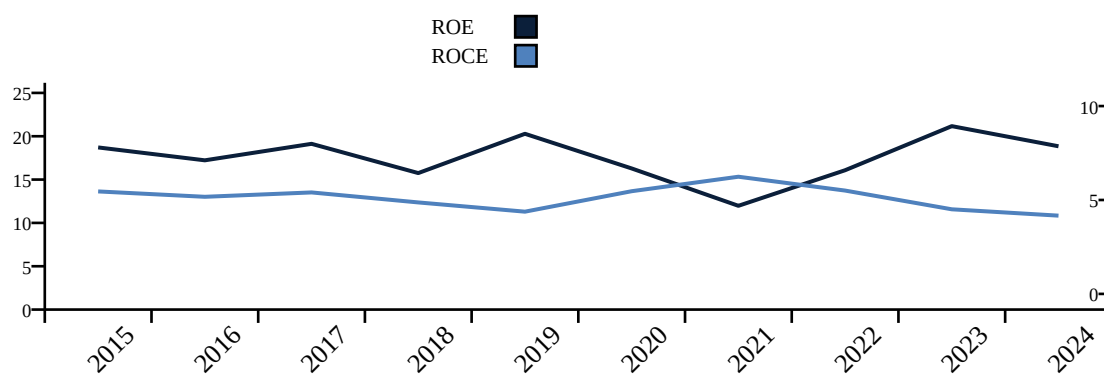
BAJFINANCE

ROE 18.8%	ROCE 4.2%	Net Margin 26.3%
Debt / Equity 3.8	Revenue CAGR 5Y 24.4%	Quality Score 51.3

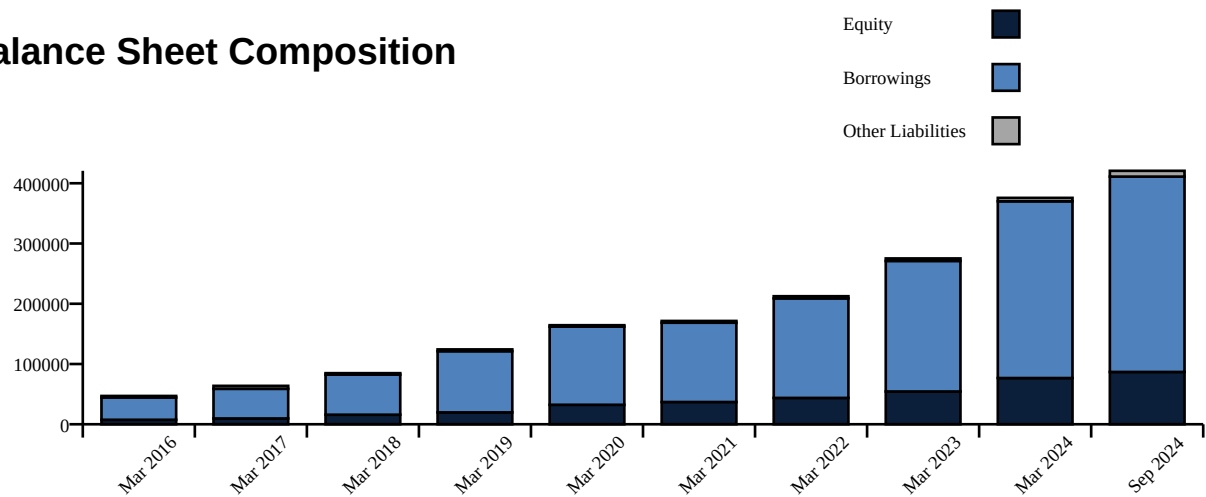
10-Year Revenue & Net Profit



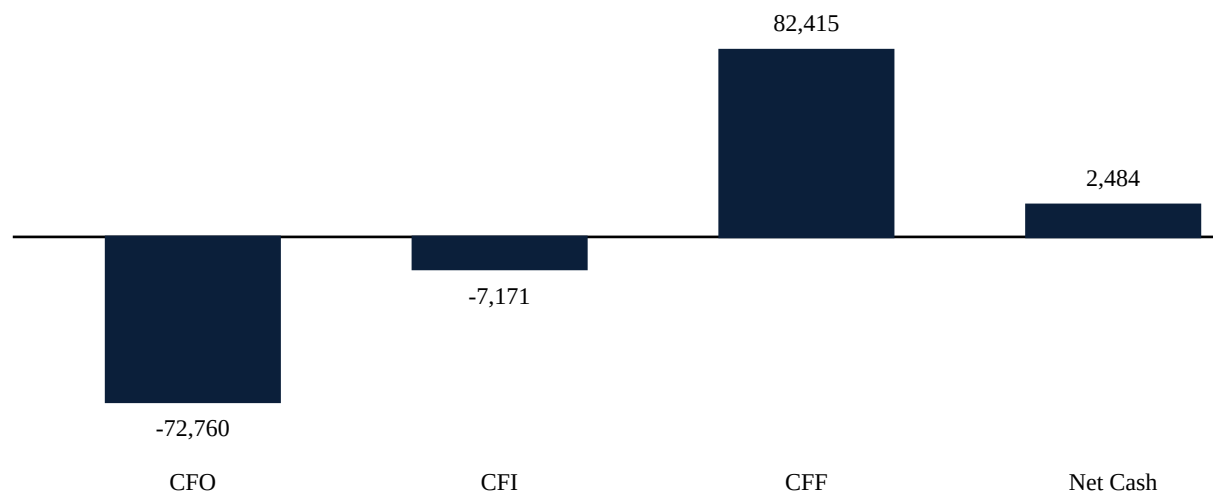
ROE & ROCE Trend



Balance Sheet Composition



Cash Flow Waterfall — Latest Year



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt